

EuroamIX

Final delivery

14.03.2025

1.

Research objective

Objective: Assessing the impact of adopting competitor's offerings on maintaining current revenue

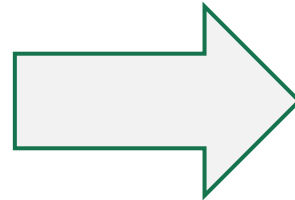
Current customer tariffs

Pay-as-you-go

- Rate per minute: 0.09 €
- Rate per megabyte: 0.02 €

Reduced

- Monthly rate: 9.99 €
- Rate per minute: 0.05 €
- Rate per megabyte: 0.01 €



Competitor's new model

S Package (1 GB, No Free Calls , 4.99 €)

- 1 extra GB costs 5 Euro

M Package (5 GB, 60 Min of Calls, 9.99€)

- 1 extra GB costs 5 Euro
- 5 extra GB cost 10 Euro

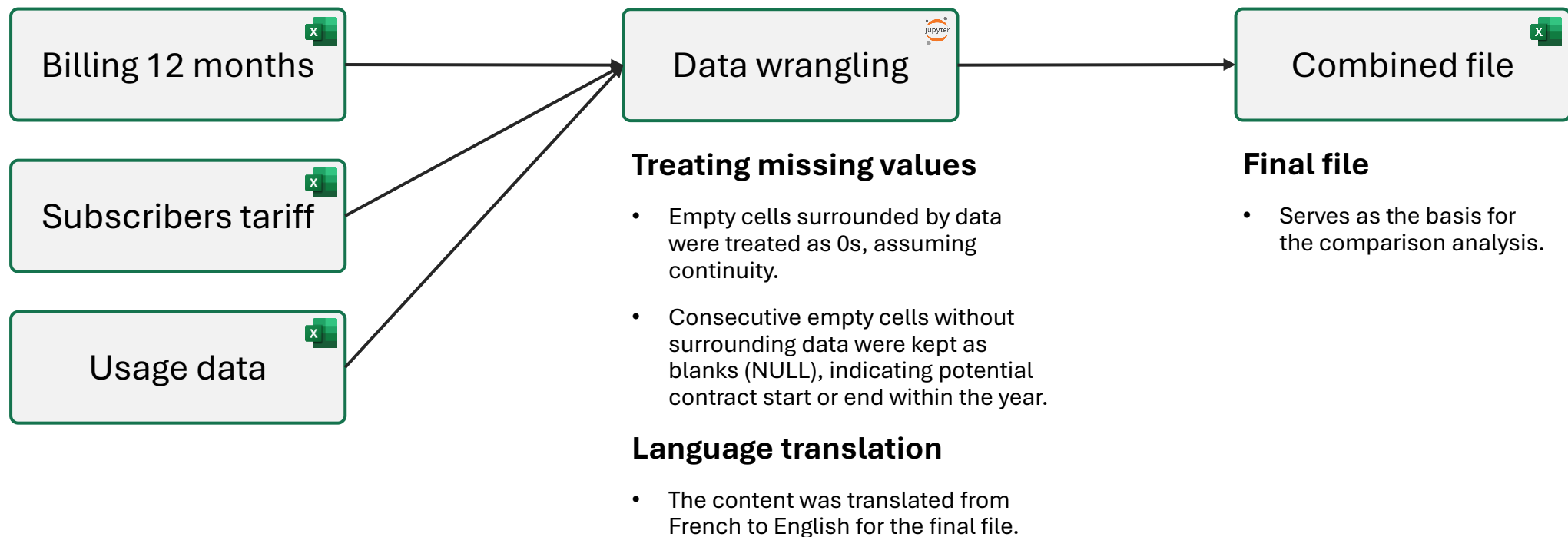
L Package (10 GB, Unlimited Calls, 14.99€)

- 1 extra GB costs 5 Euro
- 5 extra GB cost 10 Euro
- 8 extra GB cost 15 Euro

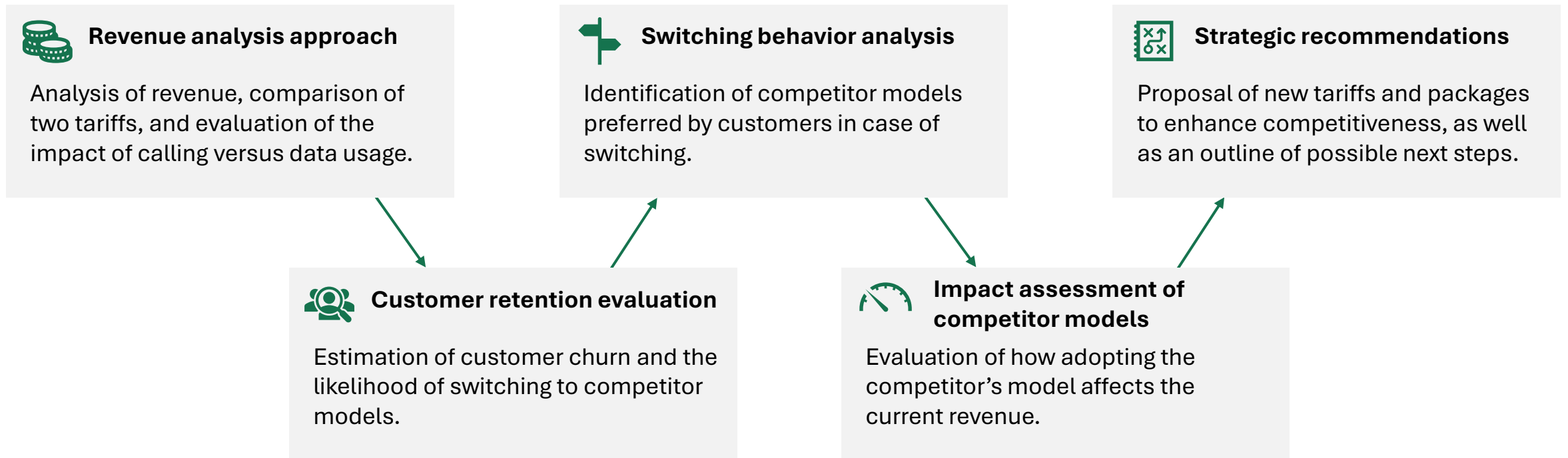
2.

Methodology

Data preparation and consolidation for analysis



Methodology for revenue analysis and strategic evaluation

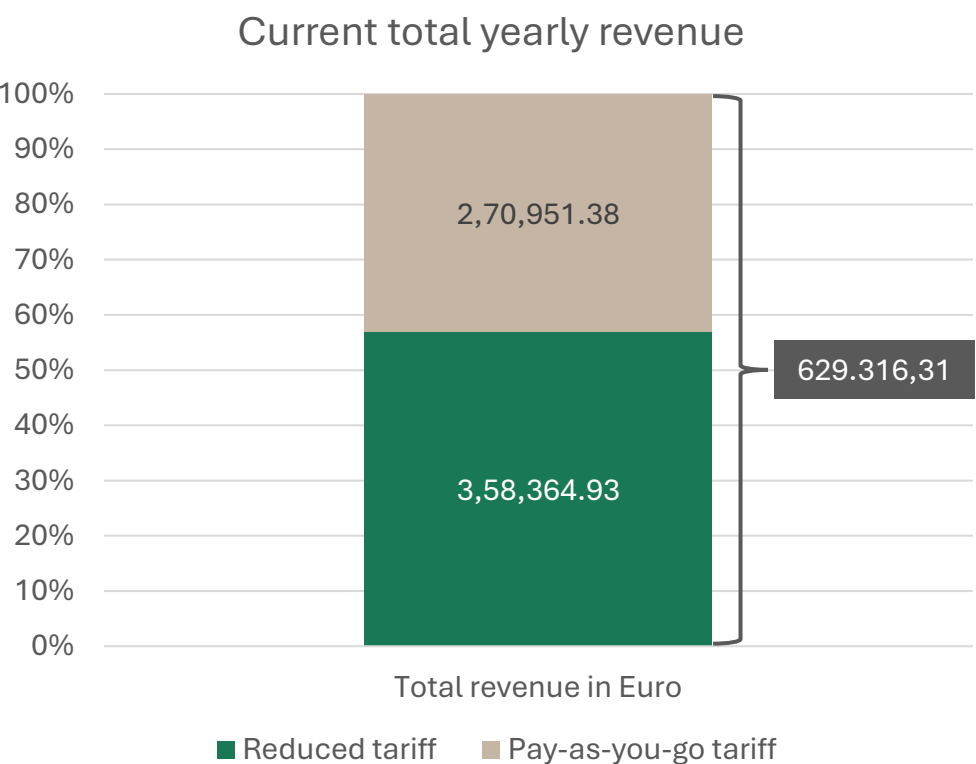


3.

Key findings & insights

Revenue breakdown: Data usage drives majority of the 629K total revenue

56,95 % of the revenue is generated through the reduced tariff.



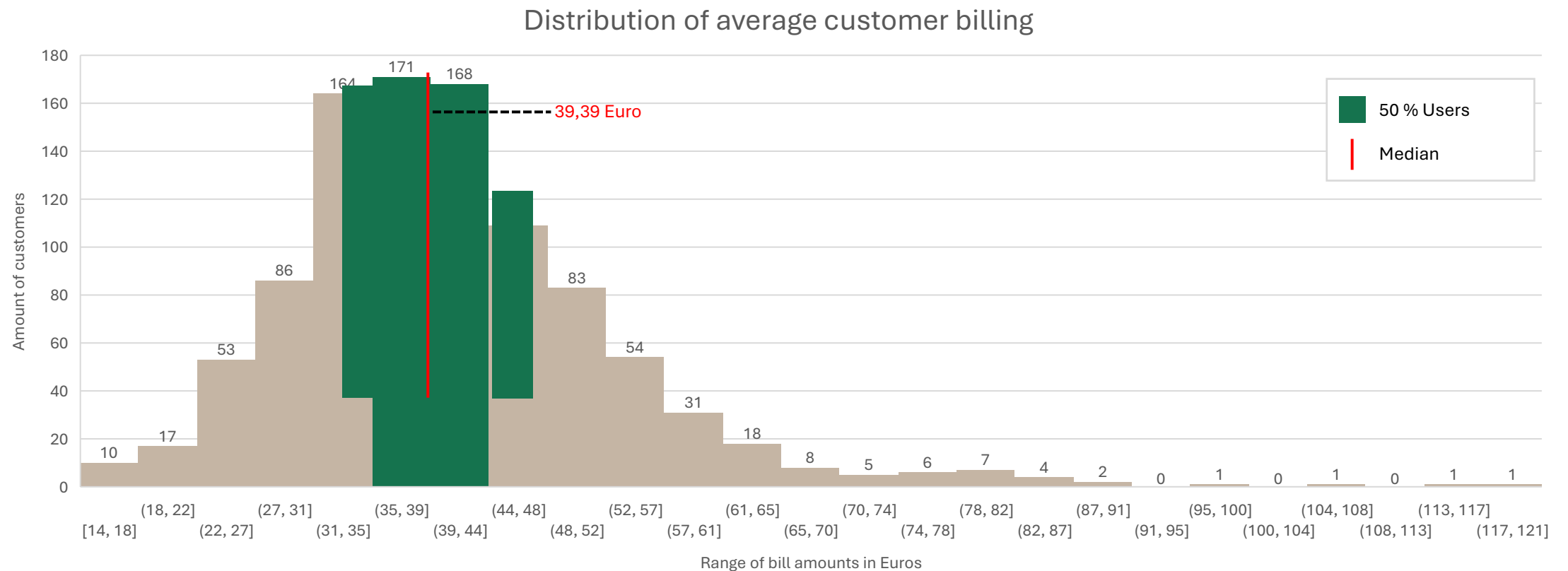
Calls have only an impact of 0,56 % on the revenue.

Comparison of data and call usage impact on revenue

Pay-as-you-go tariff	
Data	Calling
269.052,56 Euro	1.898,82 Euro
Reduced tariff (without the monthly fee of 9,99 Euro)	
Data	Calling
285.677,14 Euro	1.598,95 Euro
Combination of tariffs	
Data	Calling
554.729,70 Euro (88,15 % of total revenue)	Calling: 3.497,77 Euro (0,56 % of total revenue)
Impact of the 9.99 monthly rate for the reduced tariff on revenue	
71.088,84 Euro (11,3 % of total revenue)	

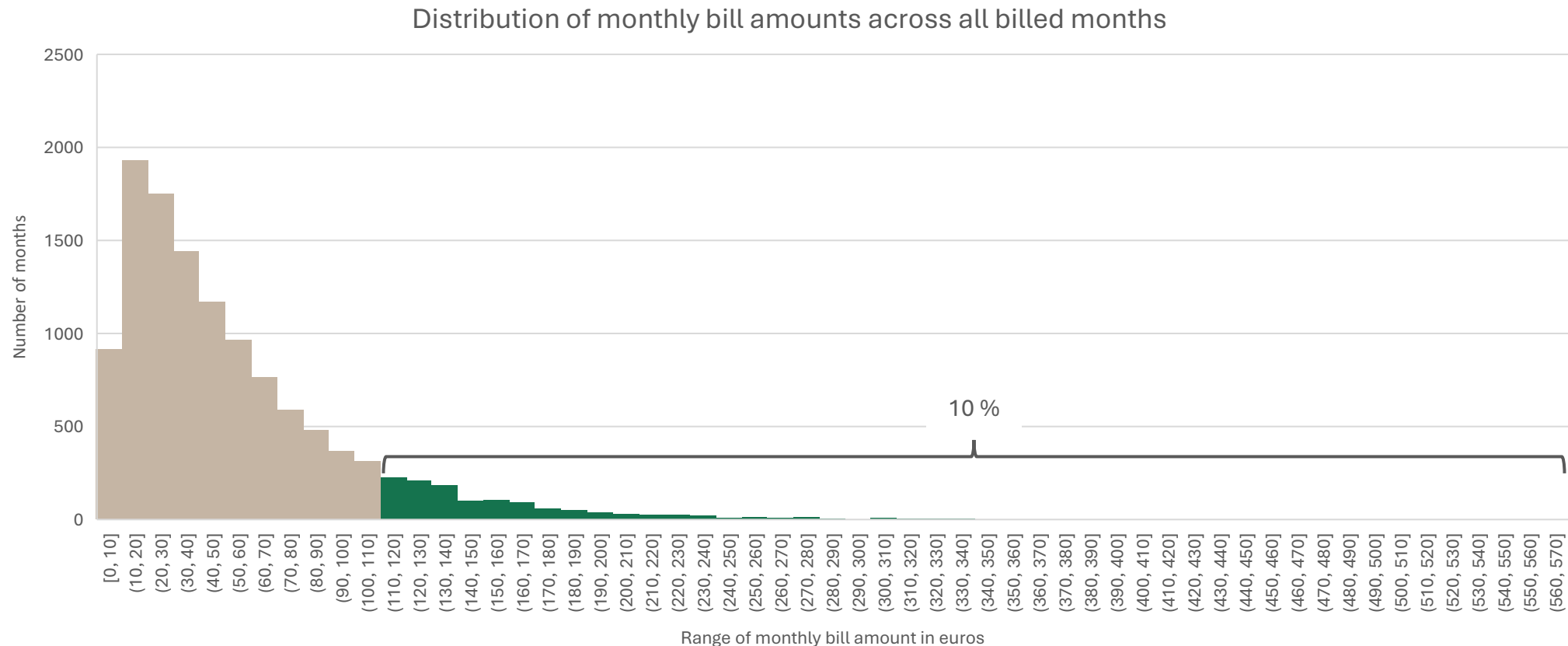
50% of monthly bills range on average (based on median) from 33,10 – 46,76 Euro.

On average (based on median) a customer's billing is 39,39 Euro.



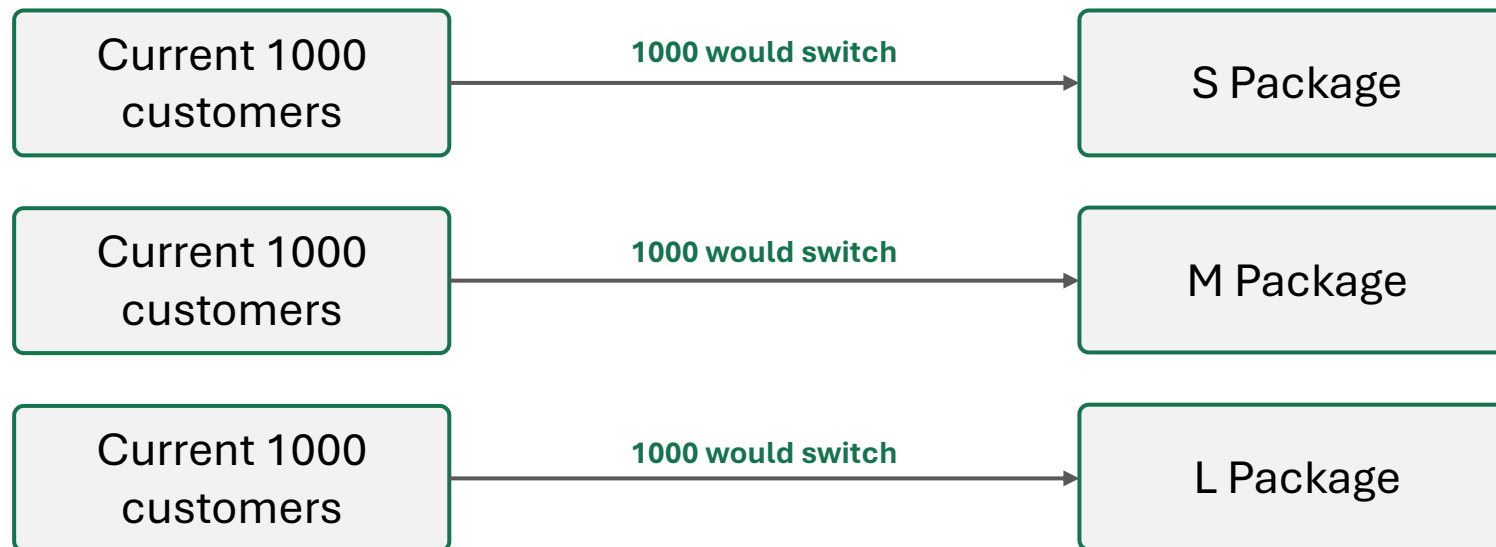
The top 10 % of all monthly bills account for 190.357,4 Euro, which is 30,24% of the total revenue

10% of monthly bills are very high, ranging from 112.01 to 565.79 Euro.



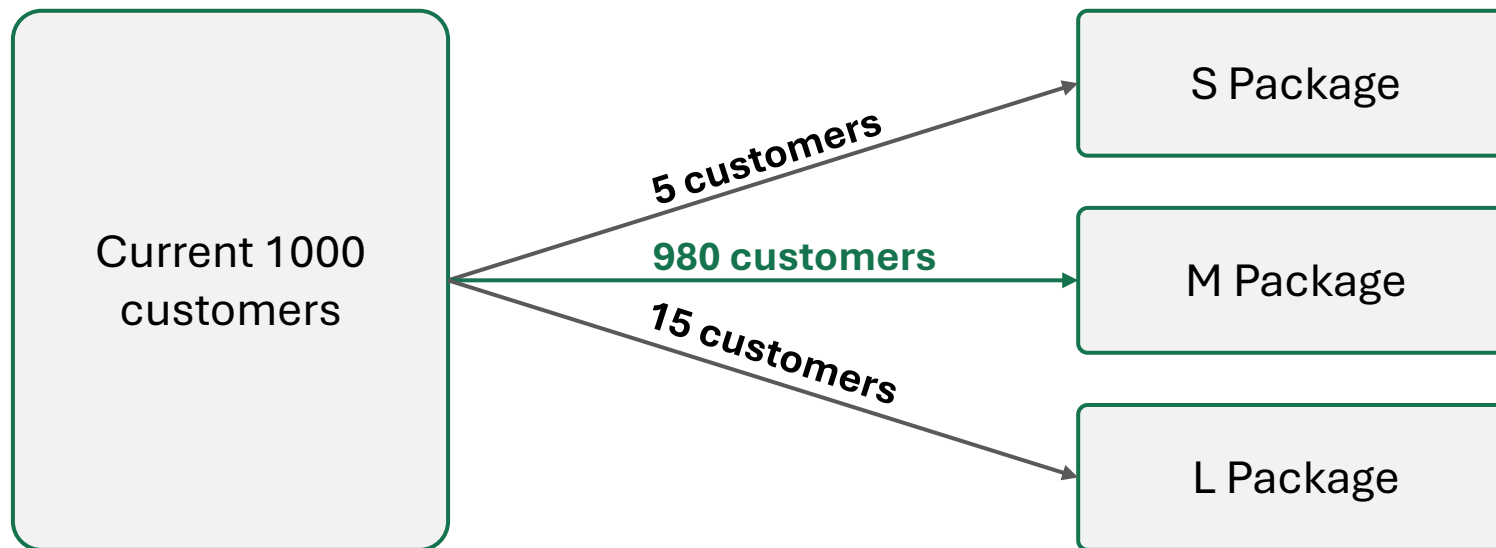
Predicting the impact: All customers would switch to the competitor in every scenario

This assumes customers act rationally, considering usage and price, without brand loyalty or other factors.



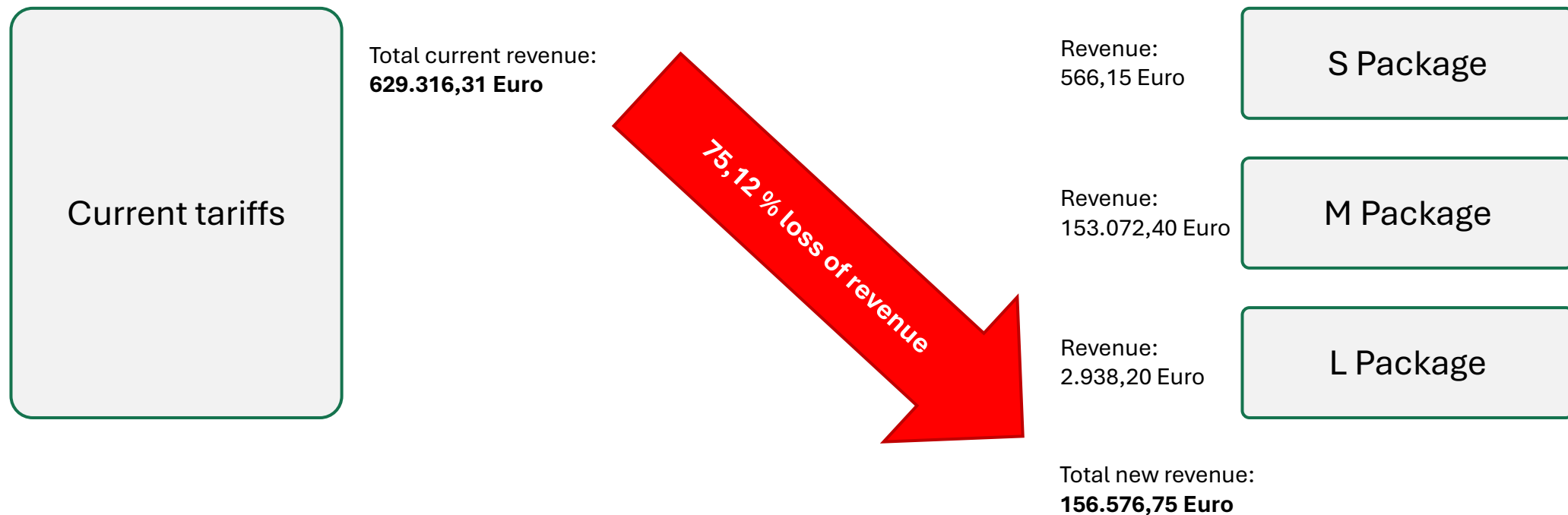
98% of current customers would switch to competitor's M Package

This assumes customers act rationally, considering usage and price, without brand loyalty or other factors.



Assessing the impact: Adopting competitor's model would result in a loss of approximately three-quarters of revenue

This assumes customers act rationally, considering usage and price, without brand loyalty or other factors.



3.

Recommendations

3 strategic alternatives to defend market share

This assumes customers act rationally, considering usage and price, without brand loyalty or other factors.

Packages with extra excess bundles

New S Package:

3 GB data, 60 min calls — 4.99 Euro

New M Package:

7 GB data, 120 min calls — 8.99 Euro

New L Package:

15 GB data, unlimited calls — 13.99 Euro

Excess data prices:

extra 1GB for 4 Euro

extra 5GB for 10 Euro

extra 10GB for 15 Euro

Packages with pay-as-you-go excess

New S Package:

3 GB data, 60 min calls — 4.99 Euro

Excess data price: 0,0075 Euro per MB

Excess calling price: 0,1 Euro per minute

New M Package:

7 GB data, 120 min calls — 8.99 Euro

Excess data price: 0,0045 Euro per MB

Excess calling price: 0,1 Euro per minute

New L Package:

15 GB data, unlimited calls — 13.99 Euro

Excess data price: 0,003 Euro per MB

Pay-as-you-go

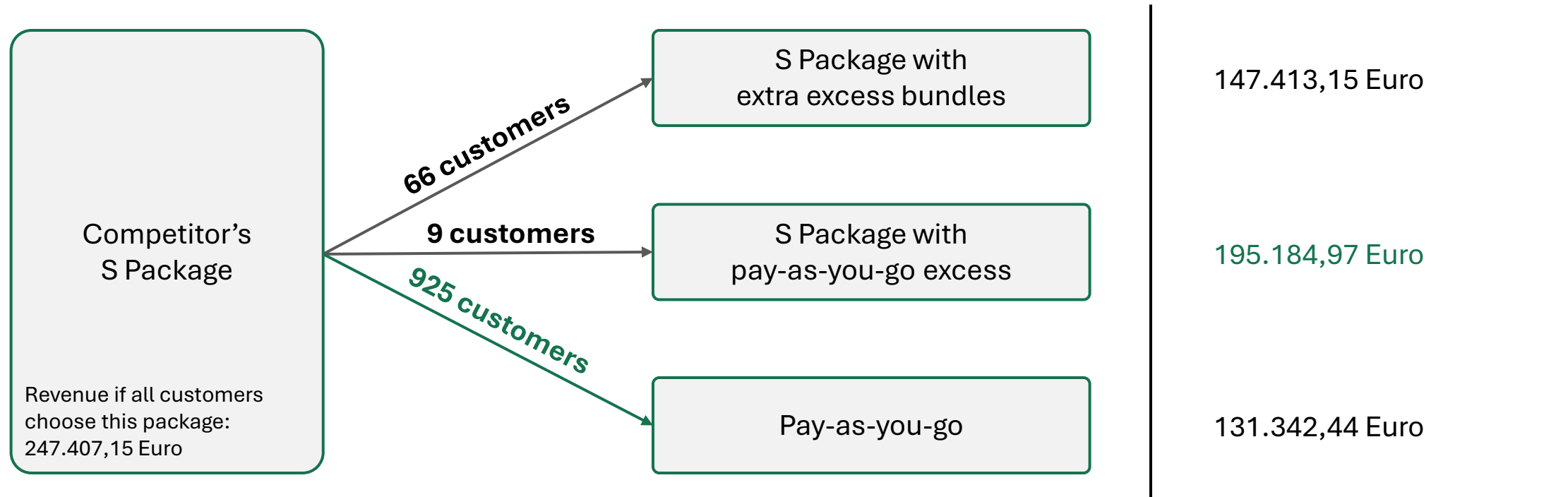
New Rates:

0,003 Euro per MB

0.1 Euro per minute

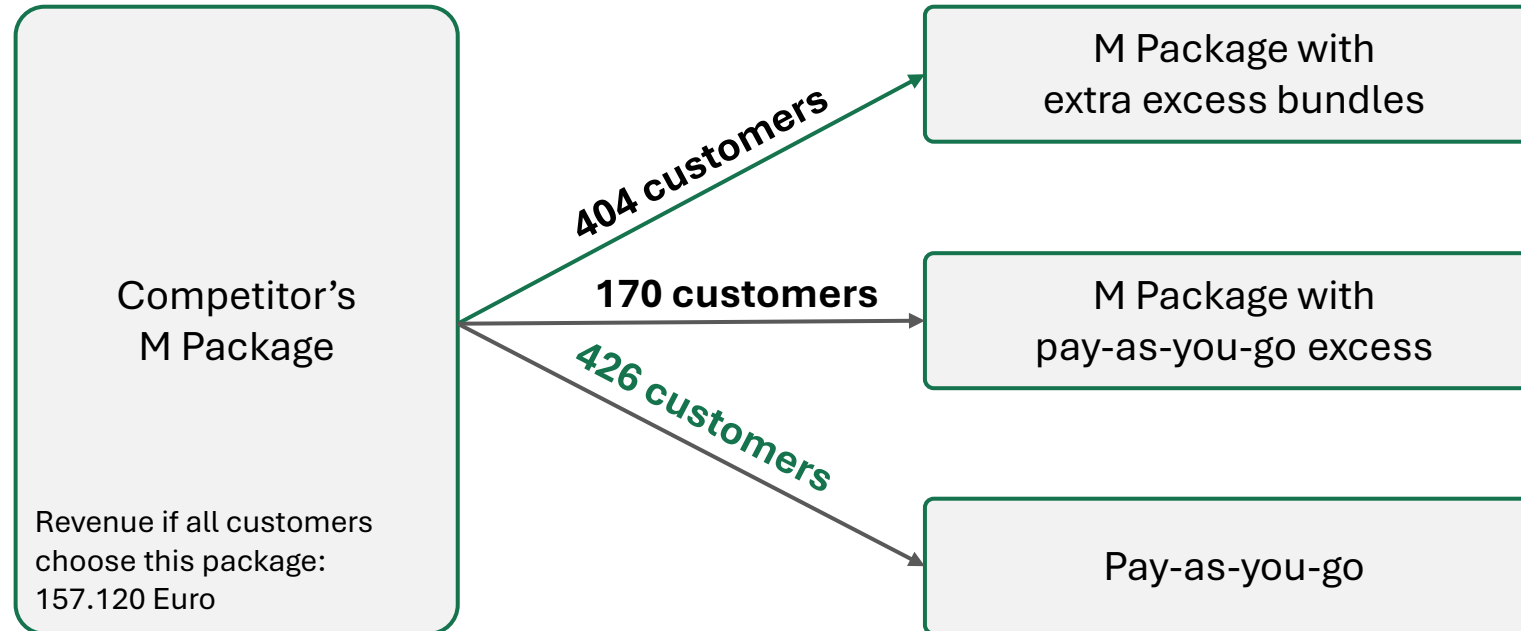
S Package comparison

Most customers would likely prefer the new “Pay-as-you-go” offer.



M Package comparison

Most customers would prefer the new "Pay-As-You-Go" offer.



Revenue if all customers choose each option:

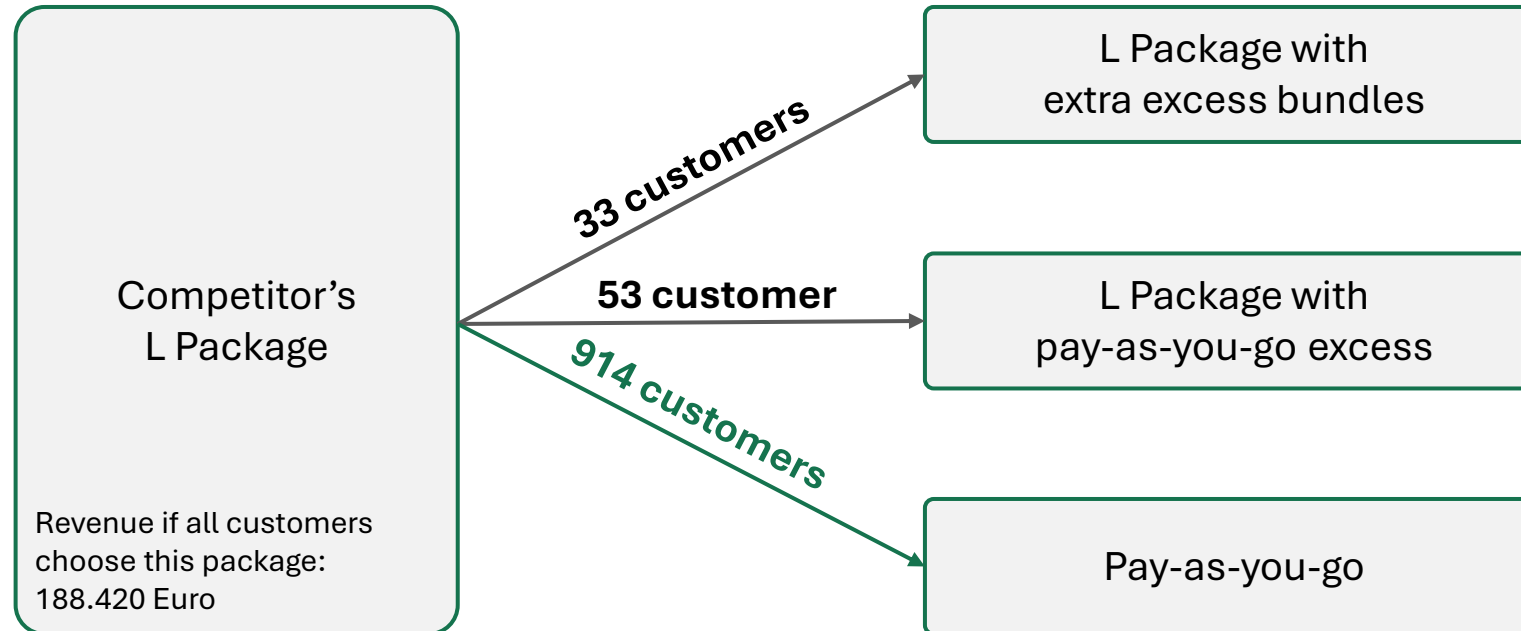
127.612 Euro

134.272,83 Euro

131.342,44 Euro

L Package comparison

Most customers would likely prefer the new “Pay-as-you-go” offer.



Revenue if all customers choose each option:

176.071 Euro

181.805,24 Euro

131.342,44 Euro

Recommendation: Offering a lower “Pay-as-you-go” tariff

A slightly lower revenue of approximately 25K euros, compared to adopting the competitor’s model, would likely help retain current customers and prevent them from switching.

	Customers likely to lose	Revenue
Current tariffs	1000	629.316,31 Euro



In all scenarios customers would likely prefer this offer if given the choice.

	Likely customer switches	Revenue
Competitor’s S Package	6	566,15 Euro
Competitor’s M Package	980	153.072,40 Euro
Competitor’s L Package	15	2.938,20 Euro
Total	1000	156.576,75 Euro

	Likely customer switches	Revenue
Pay-as-you-go	1000	131.342,44 Euro

Advantages:

- Maintains the USP of Pay-As-You-Go.
- Ensures a straightforward customer experience with minimal complexity.
- Potential for low Pay-As-You-Go rates to drive higher usage and revenue growth.

Potential additional analyses to explore



Customer Retention Drivers

Identify why customers choose the service—pricing, quality, speed, or reliability—to sharpen competitive positioning.



Roaming Duration

Analyze how long customers need roaming to optimize pricing and targeted offers.

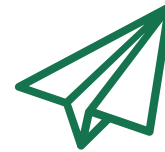


Market Growth Potential

Assess market size and growth to determine whether to focus on acquisition or retention.

Deliverables will be emailed Friday 21st March 2025

- Extensive Excel files with documentation (in ZIP file)
- Jupyter notebook (in .pynb file)
- Explanation video as a link to a cloud service



4.

Final Q&A and feedback

Thank you
for your attention!